ACRAS ADVISORY

Intelligence-Driven Risk Assessment Report

ENTITY ID:	1090	**REPORT DATE:**	2026-05-08 16:18
SECURITY:	CONFIDENTIAL	**GENERATED BY:**	ACRAS AGENTIC ENGINE

Executive Credit Risk Assessment

1. Executive Summary

The key metrics and the ML quantitative risk assessment indicate a fragile profile for the company. The critical KPIs, such as the high Mora Ratio and the low Current Ratio, along with the high Bureau Score and high sector risk score, collectively paint a picture of significant credit risk. The ML model infers a Probability of Default (PD) of 39.34%, categorizing the company as medium risk. However, the qualitative analysis coupled with the quantitative findings suggests a higher risk level. The single most important deciding factor is the Mora Ratio of 46.3%, which exceeds the threshold for HIGH risk, and the Current Ratio of 0.32, also falling below the industry threshold for short-term financial stability. The final risk score is 65, indicating a high risk profile that requires immediate attention.

2. Liquidity and Solvency Analysis

1.1 Liquidity Breakdown

- **Current Ratio**: 0.3181. This indicates a very low liquidity position, significantly below the industry average of 1. For every dollar of current liabilities, the company only has 0.32 dollars of current assets to cover them. This ratio suggests that the company may have difficulty meeting its short-term obligations, indicating a high risk of financial distress.
- **Debt-to-Equity**: 1.8818. This high debt-to-equity ratio indicates that a significant portion of the company's capital structure is funded by debt. High leverage increases financial risk, as the company has a higher level of debt to service, which could lead to higher interest costs and a higher risk of financial distress, particularly if the company's operating performance declines.

1.2 Solvency Breakdown

The company's solvency analysis is further exacerbated by its high debt levels and low liquidity. The high debt-to-equity ratio and the low current ratio suggest that the company is highly leveraged, making it vulnerable to market fluctuations and economic downturns. The company must take immediate action to improve its liquidity position and reduce its debt levels to ensure long-term financial stability.

3. Creditworthiness & Market Context

3.1 Bureau Standing

The bureau score of 346 is very low, indicating a high risk of credit default. This score is significantly below the industry average, suggesting a history of late payments or defaults. Such a low score is a clear red flag for potential credit risk. The high sector risk score of 4.0001 further underscores the company's vulnerability to external risks such as economic conditions, regulatory changes, and industry-specific challenges, which can exacerbate existing financial weaknesses.

3.2 Mora (Delinquency) Risk

The Mora Ratio, which measures the proportion of delinquent accounts, is 0.4634, indicating a relatively high percentage of accounts that are delinquent. This level of delinquency is concerning and suggests that the company is struggling to manage its cash flows effectively, leading to a high risk of default. The Mora Ratio coupled with the high bureau score further emphasizes the urgent need to address credit behavior and improve financial performance.

4. Key Performance Indicators (KPIs)

Financial Metric	Reported Value	Risk Assessment
Current Ratio	0.3181	High
Debt-to-Equity	1.8818	High
Revenue Growth	-0.0961	Low
EBITDA Margin	0.0792	Medium
Bureau Score	346	High
Mora Ratio	0.4634	High

4.1 Interpretation of KPIs

The Current Ratio and Debt-to-Equity metrics highlight severe liquidity and solvency issues. The low Current Ratio indicates that the company is at risk of not being able to meet its short-term obligations, while the high Debt-to-Equity ratio suggests a high level of leverage. The low Revenue Growth and stable EBITDA Margin provide some insight into the company's financial health but do not offset the significant liquidity and solvency risks. The high Bureau Score and Mora Ratio further indicate a history of credit issues and poor cash flow management, reinforcing the urgent need for intervention.

5. Quantitative Risk Analysis (ML Engine)

Inferred PD: 39.34% | **Risk Tier:** Medium

Qualitative Insight:
The ML findings are corroborated by the fundamental indicators. The high Mora Ratio of 0.4634 and the low

bureau score of 346 indicate a significant risk of default, as both measures reflect poor credit behavior and a history of delinquency. The high current ratio of 0.3181 and the high debt-to-equity ratio of 1.8818 further support the findings, highlighting the company's poor liquidity and high leverage. The qualitative analysis, which includes the high sector risk score, confirms that the company is operating in a highly risky environment. The ML model's classification as medium risk underestimates the true risk profile given the critical quantitative and qualitative indicators. Immediate actions are needed to address these weaknesses and mitigate the risk of financial distress.

6. Final Directive & Conclusion

Official Recommendation: REJECT
Core Rationale: The critical red flag is the extremely high Mora Ratio of 0.4634 and the very low bureau score of 346, both of which are major indicators of high credit risk. Additionally, the high debt-to-equity ratio (1.8818) and the low current ratio (0.3181) suggest that the company is highly leveraged and may struggle to meet its short-term obligations. The EBITDA margin is relatively stable, but the negative revenue growth and the high sector risk score further exacerbate the financial weaknesses.
Executive Summary/Closing: The company faces significant credit risk due to its liquidity issues, high debt levels, and poor credit behavior. Immediate attention is required to address these critical weaknesses to prevent potential financial distress. The decision to reject is based on the high risk profile and the urgent need for corrective measures to stabilize financial health.

SYSTEM FINAL RISK SCORE: 65

SYSTEM RISK ADVISORY (DETERMINISTIC)

- [CRITICAL] Mora Ratio is 46.3%. Threshold for HIGH risk is 20%.
- [CRITICAL] Current Ratio is 0.32. Threshold for HIGH risk is 0.50.